

Take inflation out, and the story changes

1

Prices flatter some loan books

and hide others: petroleum, gems, power.

2

**Loans are growing about 2×
the economy**

Services, industry, agriculture.

3

We swipe more, but owe less

Card debt is shrinking after inflation.

More rupees, less real borrowing

+14.8% → **-17.1%**

credit, in rupees

after oil prices

Oil prices (WPI mineral oils) up **38.5%**. Production: **0.0%**.

PART	GROWTH	REAL CREDIT	OUTPUT 12M
Petroleum, Coal Products and Nuclear Fuels	14.8%	-17.1%	0.0%

REAL CREDIT = growth with prices taken out · OUTPUT = production, last 12 months

August alone: yearly growth fell from 34.0% to 14.8%

Same lens, opposite stories

 **Gems & jewellery** **39.1% → 12.6%**

Take out jewellery prices (WPI, +23.6%) and growth shrinks a lot

PART	GROWTH	REAL CREDIT
Gems and Jewellery	<u>39.1%</u>	<u>12.6%</u>

 **Power** **21.0% → 23.1%**

Electricity prices (WPI) fell 1.7%, so real growth is higher

PART	GROWTH	REAL CREDIT	OUTPUT 12M
Power	<u>21.0%</u>	<u>23.1%</u>	<u>5.2%</u>

Power output grew only 5.2%. Lending is running way ahead of generation.

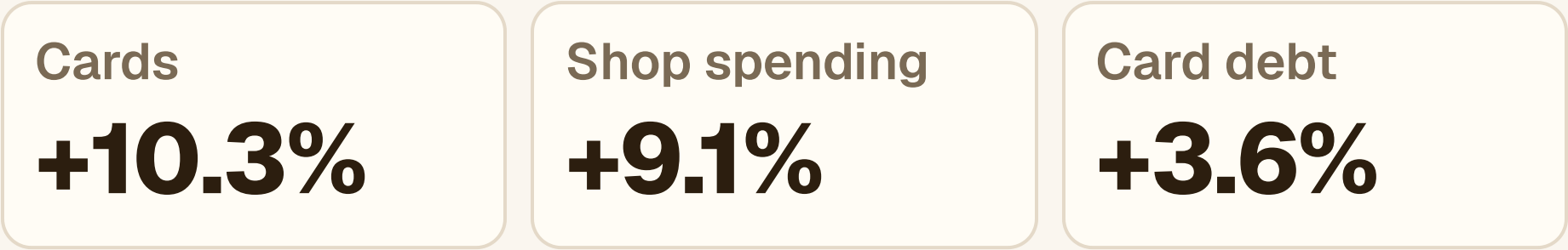
Loans are growing about 2× as fast as output

Category	Group 1 (Blue)	Group 2 (Orange)
Services	18.6%	10.2%
Industry	14.8%	7.9%
Agriculture	12.6%	3.1% - a 4x gap

Prices removed with the national-accounts deflator: +2.4% services, +3.9% industry, +3.8% agriculture.

RBI credit · MoSPI national accounts

We swipe more, but owe less



-1.1% card debt after inflation
CPI +4.8%

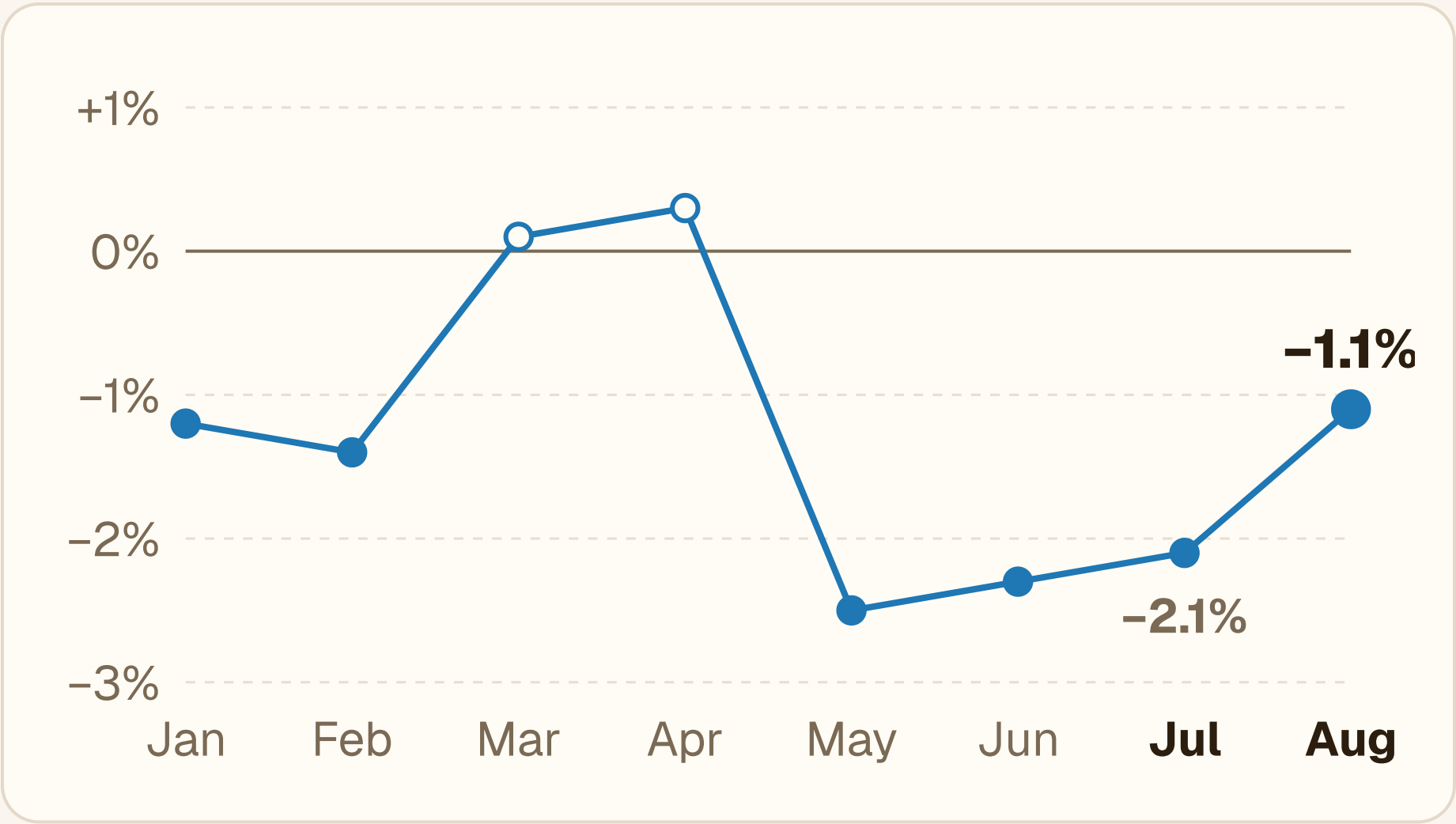
PART	GROWTH	REAL CREDIT
Credit Card Outstanding	3.6%	-1.1%

More people seem to be paying their bill in full. Good for card safety, not so good for bank profits.

NEW IN AUGUST

The smallest fall since May

Card debt after inflation (CPI), growth vs a year ago, 2026



Below zero in **6 of 8 months** this year.

July -2.1% → August -1.1%

Rupees vs reality

Petroleum	grew in rupees, shrank in reality
Power	real growth is even higher
Loans vs output	about 2× as fast
Card debt	shrinking after inflation

indiacreditlens.com

Data: RBI sector-wise bank credit + ATM/POS card statistics;
MoSPI WPI, CPI, IIP and national accounts · Aug 2026